

DIGITAL DISRUPTION

A 3D rendering of a broken metal chain. The chain is dark and metallic, with several links visible. One link is broken, and fragments are flying through the air. In the background, there is a large, stylized wave with a white crest, set against a dark, cloudy sky. A large red triangle is superimposed on the scene, pointing towards the broken chain.

Winter 2026
Prof. Thales Teixeira

At Rady I teach two courses.

Digital Disruption.

(Winter) Understanding and building digital disruption of “the attackers”.



startup p.o.v.

Digital Transformation.

(Fall) Understanding and executing a digital transformation.



incumbent p.o.v.

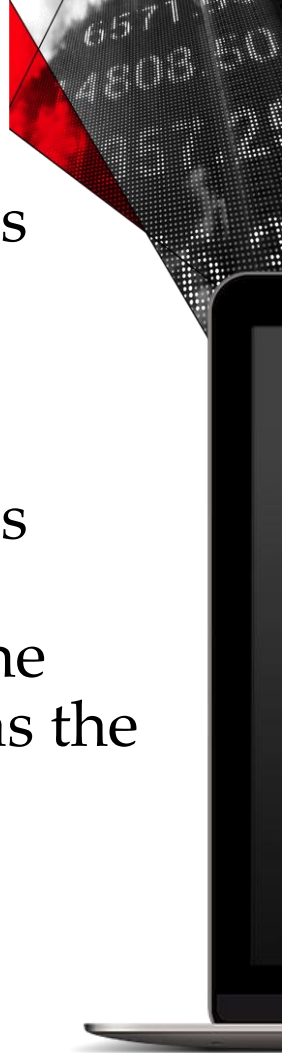
In a nutshell, the course has three objectives.

- ✔ Understanding digital business models
- ✔ Designing innovative “disruptive” business models
- ✔ Building growth strategies for the digital age
- ~~✘ Funding digital businesses~~
- ~~✘ Operating the day to day of a digital business~~



Course description

- DD is an advanced graduate course on digital business model innovation using customer-centric principles.
- Students will learn how to *identify opportunities* for disruption and *assess risks* of using disruptive business models. They will learn *how to build* customer-centric business models. And they will do so by harnessing the power of decoupling and the Customer Value Chain as the two key frameworks to master.



This is a case-based course. We will use Harvard cases in every class. Here is the list.

Online platforms

Etsy  airbnb UBER

DTC models

TOWER  trōv

Decoupling

BIRCHBOX♦ 

Monetization

Flipkart  ZALORA  wayfair
ASIA'S LEADING ONLINE FASHION DESTINATION
a zillion things home

Retention &
Growth

 zulily  Dropbox

Structure of

Sessions

*Typical sessions will have
three components*

1. Harvard case
discussion

2. Interactive
presentation

3. Hands-on group
activity



Teaching philosophy of the course

In-depth learning

1. Harvard case discussion

Generalization

2. Interactive presentation

Fixation by practice

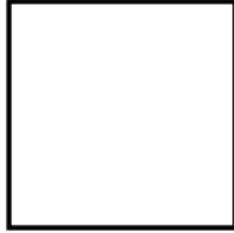
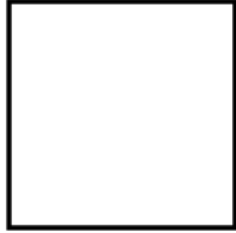
3. Hands-on group activity



Module



1



ENTRY

Strategies



This is the tentative course reader contents.

Starting online platforms

1. **Case:** Airbnb, Etsy, Uber: Acquiring the First Thousand Customers
2. **Chapter or article:**

Business model innovation

3. **Case:** Attack of the Clones: Birchbox Defends Against Copycat Competitors*
4. **Chapter or article:** Chapter 4 (until page 98), Chapter 7

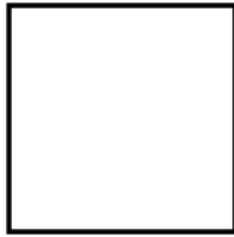
Scaling direct-to-consumer startups

5. **Case:** Selling on Amazon at Tower Paddle Boards*
6. **Chapter or article:** Chapter 2

Note: Check on Canvas for any updates prior to the class session.



Module



MONETIZATION *STRATEGIES*



This is the tentative course reader contents.

Engineering decoupling

- 7. **Case:** Monetizing Insurance at Trov." HBS Case 519-082, 2019.*
- 8. **Chapter or article:** Chapter 3, Chapter 4 (from page 99 onwards)

Lowering customer acquisition costs

- 9. **Case:** Building an e-Commerce Brand at Wayfair*
- 10. **Chapter or article:** Ofek, Elie. "Customer Profitability and Lifetime Value." Harvard Business School Background Note 503-019, August 2002. (Revised November 2016.)

Monetizing customers

- 11. **Case:** Zalora Philippines: From Growth to Profitability*
- 12. **Chapter or article:** Ngwe, Donald, Kris Ferreira and Thales Teixeira. 2019. "The Impact of Increasing Search Frictions on Online Shopping Behavior: Evidence from a Field Experiment." Journal of Marketing Research, 56(6), 944-959

Business Model Transition

- 19. **Case:** Flipkart: Transitioning to a Marketplace Model." HBS Case 516-017
- 20. **Chapter or article:** none

Note: Check on Canvas for any updates prior to the class session.

MODULE

3

GROWTH *STRATEGIES*



This is the tentative course reader contents.

Growing by coupling

- 15. **Case:** Where to Grow Next at Online Marketplace OLX. HBS Case 519-064, 2019*
- 16. **Chapter or article:** Chapter 8

Fixing retention rates

- 17. **Case:** Improving Repurchase Rates at zulily." HBS Case 516-083
- 18. **Chapter or article:** Chapter 9

Freemium pricing and CAC

- 13. **Case:** Freemium Pricing at Dropbox. HBS case 514-053
- 14. **Chapter or article:** Note on Calculating Customer Acquisition Costs, Who Owns the Whale? HBS case 9-515-107

Note: Check on Canvas for any updates prior to the class session.



In the past I have had guests, protagonists of the cases that are discussed. Here is a sample:



wayfair
a zillion things home



TOWER
PADDLE BOARDS



BIRCHBOX ♦



ZALORA
ASIA'S LEADING ONLINE FASHION DESTINATION



zulily



flipkart.com



This is how you will be graded and here are my expectations of your conduct.

- Grading Breakdown

- *Class Participation (40%)*: Based on rigor and relevance of comment during case discussion.
- *Assignments (20%)*: Approximately 1 every 3 weeks.
- *Final project (40%)*: Design a disruptive business model.

- Attendance and tardiness

- The course will be fully physical at the Rady School.
- If you need to exit, avoid during the case discussion.
- Please no mobile phones to be used during case discussion, and interactive lectures.



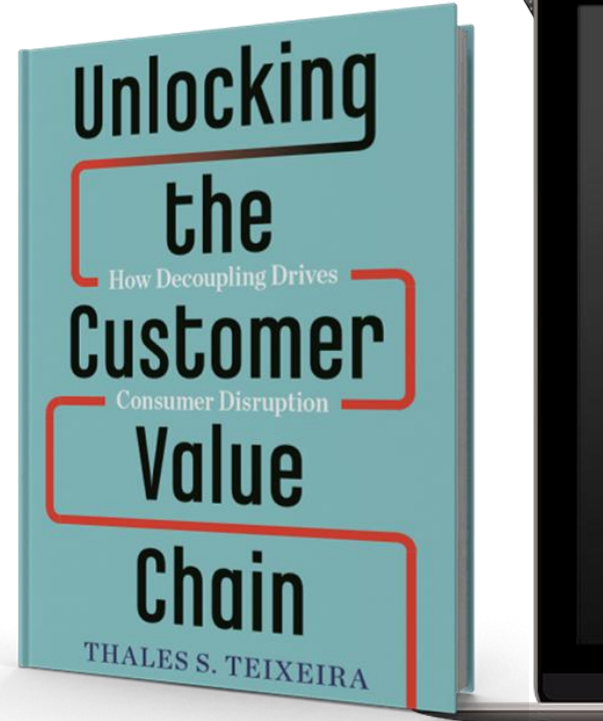
I strive to assign to my students only the critical readings of each session. The rest is optional.

Before class

- Harvard case study of the day
- Chapter of my textbook (or article, if any) will provide the supporting theory.

After class

- Slides will be posted on Canvas.



**Graded?
In class.**

Your typical week's work in DD&T.

Read case of the day

Required

No.

Answer assignment questions

Required

Yes.

**See if any question needs to be
handed in (few cases), do and
submit.**

Required

No.

If chapter or article, then read.

Required

**Final project
grade.**

If have time, work on final project.

Optional

No.

**If have time and interest, read
prior optional reading materials.**

Optional



Academic integrity

- Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind.
- The complete UCSD Policy on Integrity of Scholarship can be viewed at: <https://academicintegrity.ucsd.edu/process/policy.html>
- All aspects of the UCSD honor code apply in this course. If you are ever unsure how they apply, please ask your classmates, TA, or professor for clarification. It is much better to be conservative about honor code violations than to take a risk. You can be suspended or expelled for cheating.

Policy on AI, gen AI and LLMs

I will assume all students will have access to and use generative AI and LLMs (chatGPT and its clones chatPDF, LLama, Bard, etc.) as their own personal tutor. Anything incremental is their own work and will contribute to their grades. In practice I intend to use Chat GPT to feed my Harvard cases and ask it for summaries and to answer assignment questions about the case/company. I will tell that to students. And I may start class discussions with whatever the genAI tool spits out. That will be the baseline understanding. Any student that delivers in class or in homework at exactly that level will get a maximum grade of a C- or D. In other words, they just learned basic genAI prompts and to memorize the output. For work handed in, I ask students the courtesy to disclose gen AI as a source like any other source on the internet or otherwise.

IN SUM, I explicitly allow any use of large language models like ChatGPT or others. Be advised that their accuracy is often poor, so please be careful, as you remain solely responsible for the accuracy, content and conciseness of your submitted answers. I view LLMs as good sources of ideas and pointers, but poor sources of accurate information and VERY poor substitutes for human judgment.

[Guidance from the Academic Integrity office](#)

Students with disabilities

- A student who has a disability or special need and requires an accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.
- The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member in order to initiate the request for accommodation in classes, examinations, or other academic program activities. **No accommodations can be implemented retroactively.**
- Please visit the [OSD website](#) for further information or contact the Office for Students with Disabilities at (858) 534-4382 or osd@ucsd.edu.

This is how you can contact me.

- Thales Teixeira

- tteixeira@ucsd.edu
- (920) 912-6796
- My office is offsite and at Rady (on a limited basis).

- Office Hours

- Email me and copy my assistant, Ciara Duggan (decoupling.assistant@gmail.com) to set up an appointment

- Canvas

- Main vehicle to communicate assignments with the class.
- I will also post Module Summary slides there as well.





PROF. THALES TEIXEIRA

I very much look forward to meeting you and working with you to discuss, understand and develop disruptive and innovative digital business models.

To learn more about me:
<https://tinyurl.com/tteixeira>
www.decoupling.co